

Broadcom Q1 2026 Earnings

Blind Sentiment & Directional Score: Earnings call Q&A only

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Earnings call Q&A only** as the **ONLY** report content. The other sections (the reported financial results, forward guidance) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Broadcom Inc. (AVGO)
Report	Fiscal Q1 2026
Release date	Wednesday 4 March 2026, after close
Earnings call	5:00pm ET
Source	Motley Fool transcript
Read mode	cold; earnings call Q&A extracts only, no reported results, no guidance, no price chart
Time to produce	47 minutes

Source material (read ONLY this)

Earnings call Q&A extracts (assigned source: Q&A only)

1. “We are seeing far stronger and stronger demand for compute capacity for training... very much for inference in order to productize their latest LLMs” (Hock Tan, CEO).
2. “We will not see competition in COT for many years to come... we are by far way out there” (Hock Tan, answering J.P. Morgan on custom-silicon rivals).

3. *"I hate to tell you that you must be a bit hallucinating... we will not be affected by the gross margin by more and more AI products going up"* (Hock Tan, to UBS on rack-level margins).
4. *"You can look at it by gigawatt... if you look at it by gigawatt in 2027, we are seeing it getting close to 10"* (Hock Tan, to Bernstein on 2027 scale).
5. *"We were early in being able to lock up T-glass... we have locked up substrates... we have very good partners"* (Hock Tan, on supply through 2028).
6. *"We only have very few customers, to be precise six... to them... it is a strategic play. It is not optionality"* (Hock Tan, to Bank of America on concentration).

Your scoring: fill in below, then seal

1 Sentiment score

Score: -0.20

Rationale. The demand language is strong, but the answers lean defensive: dismissing a margin question rather than answering it, and conceding the entire AI business rests on six customers.

2 Directional signal

Signal: SELL

Rationale. Concentration on six customers plus a prickly margin exchange outweighs the demand talk. SELL.

3 Structured summary

- **What the source shows.** Demand conviction is unambiguous and supply is locked out to 2028.
- **What the source cannot show.** No numbers, so tone is all this source offers, and tone can mislead.
- **Expectations bar.** A market alert to AI concentration risk may fix on the six-customer answer.
- **Conviction.** Low conviction: this is a genuinely close call on tone alone.

4 Evidence quotes

1. *"We are seeing far stronger and stronger demand for compute capacity for training... very much for inference in order to productize their latest LLMs"* (Hock Tan, CEO).
2. *"We will not see competition in COT for many years to come... we are by far way out there"* (Hock Tan, answering J.P. Morgan on custom-silicon rivals).
3. *"I hate to tell you that you must be a bit hallucinating... we will not be affected by the gross margin by more and more AI products going up"* (Hock Tan, to UBS on rack-level margins).

— SEALED —

Overnight move and call verification

AVGO close, 4 March 2026 (release day)	\$317.53
AVGO open, 5 March 2026	\$330.18
Overnight move	+3.98%

Call verification

- HOLD band test: $|+3.98\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: The move is positive, so the correct directional call is **BUY**.
- Score given vs. correct call: signal was **SELL**, correct call **BUY**, so **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	+3.98%
D+1 close	+4.80%
D+3 close	+8.89%
D+5 close	+7.57%
D+10 close	−0.50%
D+20 close	−1.27%